

The complaint

Mr M complains that Admiral Insurance (Gibraltar) Limited declined his claim on his home insurance following an escape of water.

What happened

Mr M had home insurance with Admiral. In May 2018 he made a claim as he noticed some tiles on his kitchen floor were cracking and the floor seemed to be sinking. Admiral considered the claim, but didn't accept it as it said the damage wasn't caused by subsidence.

In July that year Mr M appointed a builder to look at the damage. They said there was water below the damaged area. Mr M contacted Admiral again. This time it sent out an expert to inspect the damage. They concluded that the joists beneath the floor were damaged due to dry rot. Admiral consequently said this had happened over time so wouldn't be covered under the policy. It said Mr M should take action to address the problem.

After this Mr M appointed his own expert to find out what the cause of the dry rot was. They discovered a leaking pipe which they said was causing damp and had contributed to the dry rot. Based on their report, Admiral sent out another expert to look at the pipe. After the visit Admiral maintained its position that the claim was excluded from cover. It said the area wasn't properly ventilated and the dry rot is likely to have developed over time.

Mr M didn't think this was fair. He said he had been given confusing and contradictory explanations from Admiral. He also said he had received poor service from it as he had to call numerous times in order to get updates. And he said the damage had got worse due to the fact the claim had taken so long to conclude. He made a complaint.

Admiral upheld his complaint relating to the service he had received. It offered him £100 compensation to make up for the distress and inconvenience this would have caused. However it said it believed the damage to the joists in the floor had happened over time so maintained its position that his claim would be excluded under the policy. It also said the extension to the kitchen wasn't properly ventilated and this was due to faulty design which was also excluded.

Mr M didn't agree this was fair and brought his complaint to this service.

Our investigator recommended Mr M's complaint be upheld. She said she didn't think Admiral had done enough to show that the exclusions applied so thought it should accept the claim. She also recommended it pay an additional £300 compensation to make up for the distress and inconvenience it had caused.

Mr M agreed with our investigator's recommendation. Admiral responded to say it agreed it hadn't done a sufficient investigation, it offered to instruct another expert to inspect the damage. However it didn't accept our investigator's recommendations.

As an agreement hasn't been reached, the case has come to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

When an insurance claim is made it is for the insured to prove there is an insured peril – an event that is covered under the insurance policy. It is then for the insurer to either accept the claim or prove that an exclusion applies.

In this case Admiral has accepted there is an insured peril – the escape of water from the pipe. However it declined Mr M's claim because it said the damage was due to dry rot, which is a gradually operating cause and not linked to the escape of water. It has also said that the extension where the damage started didn't have the right ventilation which would have made the damage worse. And this would mean it would be excluded under the faulty design exclusion as well. I have considered whether Admiral has done enough to prove these exclusions apply.

In July 2018 Admiral sent an expert to look at the damage. At this stage the escape of water wasn't identified, and the claim was declined as dry rot was found which had developed over time. However after this Mr M's expert identified a leak to a drain under the flooring and fixed the leak. When Admiral's expert returned it maintained its position that the dry rot had developed over time so the claim was declined.

I've considered this, along with the various reports provided from each side and I don't think Admiral has done enough to prove the exclusion applies. While the report from its second expert concludes that the dry rot has developed over a period of time, it draws no link between the leaking drain in the same area and the damp and rot present. The report just says: 'we consider this to be unrelated to the damage caused by the dry rot' but with no further explanation or reasoning. As the leaking drain had left water in the area – which is confirmed by the same report- and dry rot develops on damp timber, I don't find this very persuasive. And I don't agree enough was done to show that the escape of water is unrelated.

Further in the 'restoration schedule' provided by Admiral's expert it notes the cause of the damage as 'escape of water'. And in a phone call between Admiral and its contractor, it is accepted that as there is a leak in the same area it seems likely that this would be related. In fact the surveyor confirms that the dry rot is the likely cause. And they confirm they are comfortable with the claim being validated on this basis.

So while I can see the damage has likely happened over time, as dry rot takes some time to develop, I haven't seen enough to persuade me that it is unrelated to the escape of water. Further, as the leak happened under the floor of his property I can't see how Mr M could have reasonably been aware of the damage developing over time. So I don't think it's fair to apply the exclusion on that basis.

For these reasons I don't think enough has been done to prove the 'gradually operating cause' exclusion applies.

Admiral has also said that it thinks the damage has been made worse due to lack of ventilation in the flooring and this is due to faulty design. It says the damage would therefore also be excluded on this basis. However Admiral has provided no further evidence or detail about why it thinks the flooring has poor ventilation. Nor has it said what ventilation it would expect, or provided the relevant building regulations to demonstrate this – even though these

have been requested. So I don't agree it has done enough to show this exclusion applies either.

Based on this, I don't think Admiral has treated Mr M fairly in the handling of his claim and hasn't done enough to prove an exclusion applies. For this reason I will require Admiral to accept Mr M's claim under the escape of water peril in the policy and settle it in line with the policy terms and conditions.

Further I can see that Admiral has provided Mr M with confusing and contradictory information throughout the claim. And this has meant he has had to contact Admiral on a number of occasions to try and understand what was happening with the claim. This would have been distressing for Mr M, particularly as the damage at his property is fairly severe and getting worse. For this reason I agree with our investigator that Admiral should pay Mr M an additional £300 compensation to make up for the distress and inconvenience it has caused him.

My final decision

For the reasons I have given, I uphold Mr M's complaint. I require Admiral Insurance (Gibraltar) Limited to:

- Accept Mr M's claim under the escape of water peril in the policy and settle it in line with the policy terms and conditions.
- Pay Mr M an additional £300 compensation.
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Under the rules of the Financial Ombudsman Service, I'm required to ask Mr M to accept or reject my decision before 20 April 2021.

Sophie Goodyear
Ombudsman